
Temporary Help Services Contraction Could Spell Trouble for Chicago Region Employment

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Growth in the Chicago Region's professional and business services employment is slowing despite continuing growth nationally. Declines in temporary help services, an industry that makes up a large portion of professional and business services, are viewed as a leading indicator of employment that turns negative months before total employment. While other leading indicators display mixed signs for the Chicago Region's economy, the decline in temporary help services may be an indicator of a looming regional recession.

Changes in the level of temporary help services are a leading indicator of overall employment.

Adjusting the level of temporary help services staff is a way for businesses to respond quickly to changes in demand without affecting their full-time staff.¹ Declines in temporary help employment often point toward a reduction in overall employment, though the timing does not always align perfectly. Previous studies have noted that changes in temporary employment often lead total employment changes by about six months during normal economic times.² Employment declines in business services are especially critical for the Chicago Region, as sectors such as manufacturing depend heavily on services offered through this type of employment. All Chicago Region states except Wisconsin have a higher share of temporary help service jobs compared to the nation. Illinois has the highest concentration of temporary help services in the nation, while the five other Chicago Region states rank in the top 20 states (Table 1).

Aside from a change in overall demand for employment, there are other reasons why employment in the temporary help services industry could decline. Temporary employment can sometimes lead to full-time positions, which would result in decreased employment in the temporary help services industry. Moreover, business leaders are considering or are actively moving jobs overseas as remote work becomes more widely accepted.³ This can result in lower U.S. payrolls for companies, as the cost of labor abroad may be more economical.

Slowdowns in the professional and business services sector are being seen regionally, yet not nationally. Over the past year, the Chicago Region has seen significant slowdowns in employment growth in the business services sector, while national employment in the sector has continued to grow at a faster pace (Chart 1). Contractions in the administrative and waste services subsector

¹ A significant portion of the administrative and waste services subsector uses temporary help services. As such, the larger category will be used as a proxy in this article.

² Betty Joyce Nash and Jessie Romero, "[Flexible Workforce: The Role of Temporary Employment in Recession and Recovery](#)," Federal Reserve Bank of Richmond Region Focus, First Quarter 2011.

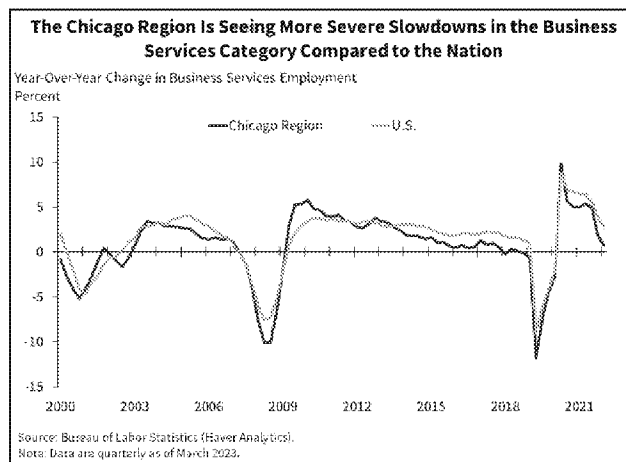
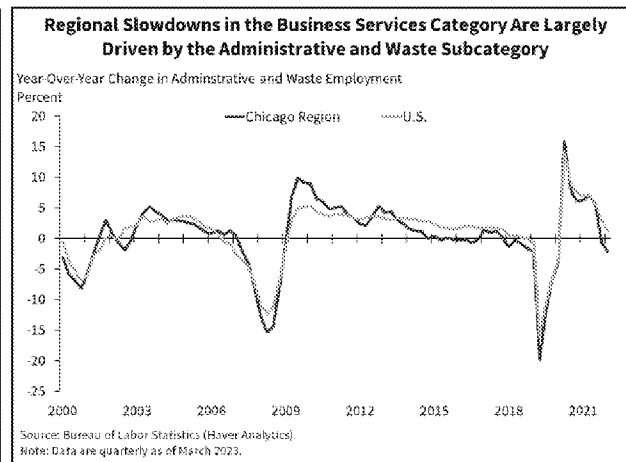
³ Konrad Putzier, "[Next Wave of Remote Work Is About Outsourcing Jobs Overseas](#)," *Wall Street Journal*, April 11, 2023.

are driving the slowdowns in the professional and business services sector, as the subsector declined in the first quarter from the previous year. Job losses were mostly in the second half of 2022, and the sector also was relatively stagnant in first quarter 2023. Unlike the Region's subsector, the nation's continues to increase (Chart 2).

Table 1

The Chicago Region Has a High Level of Exposure to Temporary Help Service Jobs				
	Number of Jobs	Share of Jobs	Rank	Category Structure
Illinois	179,414	1.49	1	Professional & Business Services ↓ Administrative and Support and Waste Management and Remediation Services ↓ Employment Services ↓ Temporary Help Services
Indiana	79,632	1.26	7	
Kentucky	48,949	1.24	8	
Michigan	105,318	1.21	10	
Ohio	118,449	1.09	12	
Wisconsin	56,050	0.96	20	
U.S. Total	3,055,909	1.00	-	

Source: Bureau of Labor Statistics, Quarterly Census of Employment and Wages.
Note: Data are quarterly as of December 2022. Share of jobs refers to the concentration of a particular job in a state compared to that of the nation. Share of jobs column is ranked out of 50.

Chart 1**Chart 2**

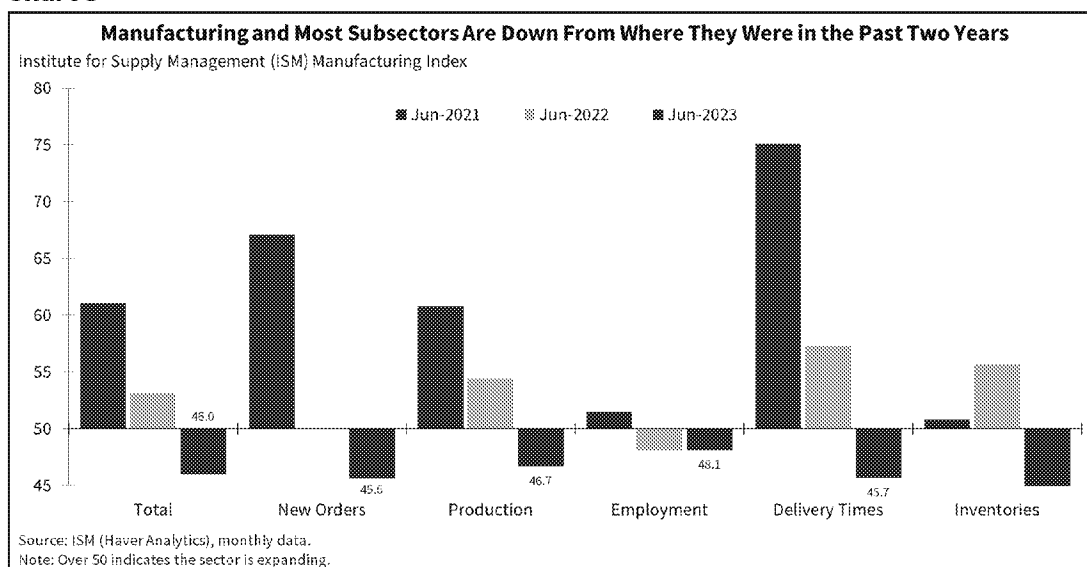
Annual growth in the professional and business services sector has slowed sharply in the Chicago Region over the past year, falling from 5 percent in first quarter 2022 to less than 1 percent in first quarter 2023. Two manufacturing dependent states, Wisconsin and Ohio, had annual declines as of first quarter 2023. Losses were more severe in the administrative and waste services subsector, where nearly all Region states had annual declines in the last two quarters. Wisconsin had the steepest losses in the subsector, which declined more than 5 percent in first quarter 2023.

Other leading indicators show mixed signs for the U.S. economy, while the Chicago Region's economy may be particularly at risk. The Institute for Supply Management (ISM) Composite Index for manufacturing from June 2023 reported contraction in the economy for the eighth

month in a row, while all of the sub-indices contracted as well. The ISM Employment Index showed the second largest change in the June report, moving from expansion to contraction (Chart 3).

The Federal Reserve's Beige Book from April reflects the slowdown in manufacturing, where decreases in manufacturing demand have reportedly led some employers in the Federal Reserve's Chicago Region to slow hiring or make less of an effort to keep underutilized workers.⁴ Other Federal Reserve Region banks reported mixed manufacturing conditions, with various mentions of softening or declining activity in the first three months of 2023. Initial unemployment claims in the Chicago Region increased in two of the first three months of the year at almost twice the pace compared to the nation before claims declined in April. Similarly, the Chicago Region saw an increase in continued claims toward the end of 2022 that also rose at a faster pace compared to the nation, though March 2023 showed the first decline in five months.

Chart 3



Slowing professional and business services employment is not translating to overall employment declines in the Region or worsening banking conditions. While declining temporary help services employment may portend a looming recession in the Region, total employment increased in all Region states in first quarter 2023. In addition, median loan growth at community banks remained strong across Region states in the first quarter, and median total past-due loan ratios are very low and remain below pre-pandemic levels.

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⁴ The Beige Book, April 2023. The Federal Reserve Bank of Chicago's territory includes all of Iowa and parts of Illinois, Indiana, Michigan, and Wisconsin.

